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CFO BLOG

Home Depot Expects Lower Taxes, Stronger Sales Following U.S. Tax Reform — CFO

By Tatyana Shumsky

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Home Depot Inc. expects a substantial drop in its effective tax rate and continued sales growth in 2018 as the new tax law boosts the U.S. economy, according to Chief Financial Officer Carol Tomé.

The federal tax overhaul lowered the U.S. corporate tax rate to 21%, from 35% previously, and set the country on the path to a territorial tax system.

The world's largest home-improvement chain forecasts its effective tax rate will fall to 26% in 2018, from 39.6% in the fiscal fourth quarter of 2017. The anticipated decline is "a direct result of the tax law that was passed in December," Ms. Tomé said Tuesday in an interview with CFO Journal.

"Our projection for 26% includes the fact that we operate in 50 states," Ms. Tomé said. "We have state tax in that number, we have foreign tax in that number because we're moving to a territorial system, so when you add it all up we get 26%."

Home Depot reported earnings of \$1.8 billion for the fiscal fourth quarter of 2017, up from \$1.7 billion in the same period of 2016. Sales rose 7.5% to \$23.9 billion from the same period a year earlier. The company also reported record sales of \$100.9 billion for 2017, up 6.7% from fiscal 2016.

Home Depot forecast 2018 sales to grow 6.5% in fiscal 2018 as the benefits of the new

tax law percolate through the economy.

“Around 80% of American households will have more income in their pockets because of the tax reform and the increase in the standard deduction,” Ms. Tomé said. And while residents in high-tax states such as California and New York may “feel a bit of pain” due to caps on deductions for state income and property taxes, overall “houses are very affordable,” Ms. Tomé said.

Home Depot also expects its return on invested income to climb above 40% by 2020 as a result of the new tax rules. That’s up from approximately 34% for fiscal 2017. Ms. Tomé said higher earnings and lower taxes will drive that ratio higher.

Still, charges related to the new tax law -- a \$127 million net tax expense and around \$117 million related to one-time cash bonuses paid to hourly employees -- reduced the most recent quarter’s earnings per share by 17 cents. Earnings per share totaled \$1.52 for the quarter, up from \$1.44 a year earlier.

The retailer in December announced plans to invest \$1.2 billion over five years to upgrade its delivery network. Home Depot already makes deliveries every day, including bulk items such as roofing, lumber and concrete, in addition to appliances and other items. The initiative aims to make that service faster and more efficient, Ms. Tomé said.

“When we are done, 90% of the U.S. population will have same day delivery and this is big, bulky stuff,” Ms. Tomé said.

Tatyana Shumsky is the former Deputy Editor of CFO Journal. She is no longer with the Journal. She wrote about accounting, regulation and chief financial officers. Previously she covered commodities for The Wall Street Journal’s markets team.

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